Alternative decision rules for heterogeneous households

1,060 household states → probability-ranked feasible actions → individual financial paths

Household state



Household profile

- Income and liquid cash
- Policy schedule
- Month and economic setting

Same initial state in paired paths

Fully rational benchmark

Expected utility + continuation value

Optimize over the feasible action menu

Standalone YN-Lite-4B / YN-master-9B

Household state → option probabilities

Select the highest-probability action

Advised YN-Lite-4B / YN-master-9B

State + current rational recommendation

Option probabilities → selected action

Advice

Common ledger



Feasible consumption

Non-negative cash

Interest where specified

Next-month cash state

Monthly state update

D · Deterministic environment

Zero interest · no income risk

33 equally spaced consumption shares

R · Income-risk environment

2% annual interest · monthly log-income SD 0.10

33 squared shares · infinite-horizon menu values